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**UNITED STATES DISTRICT COURT**
**SOUTHERN DISTRICT OF CALIFORNIA**
**SAN DIEGO**

JENNIFER SAGER, individually and on behalf of all others similarly situated,

Plaintiff,

v.

CETERA FINANCIAL GROUP, INC. and CETERA INVESTMENT SERVICES LLC,

Defendants.

Case No. 3:26-cv-03372-RSH-VET

Judge: Hon. Robert S. Huie

**MEMORANDUM OF POINTS AND AUTHORITIES IN SUPPORT OF DEFENDANTS' MOTION TO DISMISS COMPLAINT**

Date: October 5, 2026
Time: *Under Submission*
Courtroom: 3B

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## INTRODUCTION

Plaintiff challenges the interest rates paid by Defendant Cetera Investment Services LLC ("CIS") to her through CIS's cash sweep program, and CIS's parent company (Cetera Financial Group, Inc.'s ("CFG")) purported authority over, and direct benefit from, this program. The voluntary cash sweep program enables CIS's brokerage account customers to earn extra interest on money awaiting investment in their account by sweeping their short-term cash into interest-bearing accounts at participating program banks ("Program Banks"). Compl. ¶ 2. Plaintiff contends that she should have received more interest than Defendants paid her and that Defendants did not disclose enough specifics about the cash sweep program.

Plaintiff's Complaint is deficient in material ways, and Defendants are left guessing as to key elements of her claims. She makes no effort to separate the Defendants and their alleged conduct, and Plaintiff squarely misrepresents Defendants' disclosures. Plaintiff's Complaint should be dismissed with prejudice. *Futo v. U.S. Bancorp*, 826 F. Supp. 3d 1016, 1039 (D. Minn. 2026) (dismissing similar cash sweep claims with prejudice).

## FACTUAL BACKGROUND

Defendant CIS is a broker-dealer. Compl. ¶ 16. Independent financial advisors and financial institutions partner with CIS for securities brokerage services. CIS does not offer ongoing investment advice, which is offered through an affiliated entity, Cetera Investment Advisers LLC, a nonparty. Exhibit ("Ex.") B at 1. Clients control all investment decisions in a brokerage account. *Id.* at 1. CIS does not even have an obligation to monitor these investments. *Id.* at 1. CIS is incorporated in Delaware, headquartered in Minnesota and is a wholly owned subsidiary of CFG, a Delaware corporation headquartered in California. Compl. ¶ 16.

Plaintiff alleges that she was Defendants' brokerage account customer and participated in Defendants' FlexInsured cash sweep program. Compl. ¶ 14. The Complaint alleges little about her account, e.g., she does not allege when her account opened, how much she maintained in her account, or how much interest she was paid by Defendants.

In CIS's cash sweep programs, for participating customers, uninvested cash balances held in a participating CIS account are transferred, or "swept," into interest-bearing, FDIC-insured deposit accounts with an unaffiliated bank and back when needed in the CIS account. Compl. ¶ 23. CIS offers two bank cash sweep programs to its brokerage and advisory clients: (i) the FlexInsured Cash Sweep Program, which is the default option for most brokerage and retail advisory accounts; and (ii) the Insured Deposit Sweep Account Program (IDSA), which is the default sweep program for certain advisory retirement accounts. *Id.* at ¶ 27. The IDSA account is only available for clients with certain investment advisory retirement accounts and is not at issue in this case; Plaintiff only alleges that she maintained a FlexInsured Account.

Once the uninvested cash is swept, the Program Bank pays interest to CIS on the cash deposited, a portion of which is credited to the client's CIS account. *Id.* at ¶ 26. The interest rate paid to the customer depends on the amount deposited by tier (or group) of investment. Interest rates, deposit tiers, and CIS's fees are publicly disclosed. Ex. A at 2, 4, 5, 8.

## STANDARD OF REVIEW

To survive dismissal under Rule 12(b)(6), "a complaint must contain sufficient factual matter . . . to 'state a claim to relief that is plausible on its face.'" *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570 (2007)). While the Court must accept a

complaint's well-pled allegations as true, "[t]his presumption does not extend to conclusory allegations, 'unwarranted deductions of fact, or unreasonable inferences.'" *Souter v. Edgewell Pers. Care Co.*, 542 F. Supp. 3d 1083, 1089 (S.D. Cal. 2021) (quoting *In re Gilead Scis. Sec. Litig.*, 536 F.3d 1049, 1055 (9th Cir. 2008)). As demonstrated below, Plaintiff's complaint fails to state a claim under Rule 12(b)(6).

## ARGUMENT

### I. The Complaint Fails Rule 8's Basic Pleading Standards and Should Be Dismissed Under Rule 12(b)(6) or a More Definite Statement Should Be Required.

Plaintiff fails to comply with Fed. R. Civ. P. 8, which requires a short and plain statement alleging a plausible claim against each defendant. Her barebones Complaint does not distinguish between the Defendants, simply lumping them together. Compl. ¶¶ 15–16, 20–21, 54–55, 66–67, 74–75. This leaves Defendants guessing as to which allegations tie to which Defendant. This serious pleading deficiency requires dismissal of the Complaint under Fed. R. Civ. P. 12(b)(6). Although a complaint need not contain "detailed factual allegations," it must contain facts with enough specificity "to raise a right to relief above the speculative level." *Bernstein v. Extendicare Health Servs.*, 607 F. Supp. 2d 1027, 1029 (D. Minn. 2009) (citing *Twombly*, 550 U.S. at 545). At a minimum, the Court should order Plaintiff to amend her complaint under Fed. R. Civ. P. 12(e).

### II. CFG Should Be Dismissed as a Defendant

CFG, the parent of CIS, should be dismissed. Plaintiff's allegations against CFG are simply insufficient: she claims only that (i) CFG "had ultimate authority over, and direct financial benefit from, the FDIC-Insured Bank Deposit Sweep Programs ('Programs') . . . [and purportedly] controls

the policies and practices at issue;" and (ii) CIS, as a broker-dealer, is part of the CFG network, i.e., that CFG is the parent corporation of CIS. Compl. ¶¶ 14–16. Plaintiff also fails to allege any contract with CFG. But a parent company is not generally liable for the actions of its subsidiaries. *United States v. Bestfoods*, 524 U.S. 51, 61 (1998). Minnesota, in particular, applies a "presumption of separateness" between a corporation and its subsidiaries. *Ass'n of Mill & Elevator Mut. Ins. Co. v. Barzen Int'l, Inc.*, 553 N.W.2d 446, 449 (Minn. Ct. App. 1996). The only specific CFG-related allegation is that CFG purportedly had "ultimate authority over, and direct financial benefit from, the Programs" and that "[CFG] controls the policies and practices at issue." Compl. ¶ 15. That allegation is not enough to state a claim against CFG.

**III. Plaintiff Fails to State a Claim for Unjust Enrichment (Count VI)**

A contract controls the claims here (even if Plaintiff failed to attach it), which forecloses a claim for unjust enrichment. "As an equitable remedy, unjust enrichment does not apply when there is an enforceable contract governing the parties' relationship." *Futo*, 826 F. Supp. 3d at 1037 (internal quotation marks omitted); *ServiceMaster of St. Cloud v. GAB Bus. Servs., Inc.*, 544 N.W.2d 302, 305 (Minn. 1996) ("A party may not have equitable relief where there is an adequate remedy at law available.").

Plaintiff herself states that "Defendants' relationship with their customers are governed by written contracts." Compl. ¶ 74. As a result, she cannot allege an unjust enrichment claim. *Futo*, 826 F. Supp. 3d at 1037. Defendants do not dispute that a contract controls this case, but they contend that Plaintiff has failed to attach it or quote from it in a way that satisfies Rule 8. Unjust enrichment is an equitable remedy that is unavailable where a legal remedy exists. Count VI thus should be dismissed.

Count VI also fails because Plaintiff fails to allege the required elements. Compl. ¶¶ 106–10. Under Minnesota law, "a plaintiff must allege that the defendant knowingly received a benefit to which the defendant was not entitled, and that it would be unjust under the circumstances for the defendant to retain that benefit." *Graff v. Brighthouse Life Ins. Co.*, 698 F. Supp. 3d 1080, 1089 (D. Minn. 2023), *aff'd*, 109 F.4th 1118 (8th Cir. 2024) (citation omitted).

First, Defendants were entitled to receive the benefits they did under the cash sweep program. Defendants are entitled to be compensated for facilitating this service, and they disclosed all material aspects of cash sweep programs including the conflict of interest and generally lower interest rates. There is nothing unjust or inequitable about Defendants retaining the fees they collected throughout Plaintiff's voluntary participation in the program. For instance, in *Wright v. Capella Univ., Inc.*, 378 F. Supp. 3d 760, 774–75 (D. Minn. 2019), the court dismissed former doctoral students' unjust enrichment claim where the students claimed, among other things, that the school intentionally prolonged the program to collect more tuition. As in *Wright*, Plaintiff's as-pled claims illustrate that she received what she bargained for, which is interest on uninvested funds that would otherwise remain static.

## CONCLUSION

For the foregoing reasons, Defendants respectfully request that Plaintiff's Complaint be dismissed in its entirety.

Dated: August 31, 2026

Respectfully submitted,

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